

2c. Content of Component 1: Microeconomics (H060/01)

Component 1 of our Economics AS qualification focuses on microeconomics. From a base of microeconomic theory, this component enables learners to discuss and evaluate how well microeconomic theories explain our observations of economic agents in the real world. The theoretical workings of the free market provide a useful starting point for explanation and analysis. Imperfections and market failures provide a lead into a discussion of the merits and drawbacks of government intervention. The study of microeconomics encourages learners to consider the usefulness of theory in explaining observations taken from the real world of economics.

Area of Study	Topic	Learners should be able to:
Scarcity and choice	The basic economic problem	• distinguish between economic goods and free goods • explain what is meant by the basic 'economic problem' • evaluate the implications of the basic 'economic problem' • distinguish between normative and positive statements • distinguish between 'needs' and 'wants' • explain what is meant by scarcity • evaluate, using examples, the problem of scarcity and the requirement to make choices • explain, using examples, the impact of sustainability on scarcity and choice • explain the role of economic agents: ○ government ○ firms ○ households • explain the nature and role of the different factors of production as economic resources • explain the rewards to the factors of production.
	Opportunity cost	• explain the concept of opportunity cost • explain what is meant by a trade-off • explain what is meant by a production possibility curve/frontier (PPC/F) • explain the factors causing a PPC/F to shift • explain how PPC/F can be used to illustrate

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Scarcity and choice	Opportunity cost	scarcity, choice, opportunity cost and productive efficiency • evaluate the usefulness of the concept of opportunity cost.
	Specialisation and trade	• explain what is meant by specialisation and the division of labour • evaluate the role of specialisation and the division of labour in addressing the problem of scarcity • explain how specialisation encourages trade and exchange in an economy • explain how money facilitates trade and exchange compared to barter systems.